

Cerezyme and *Fabrazyme*. Compounding the issue, from Icahn's perspective, Genzyme failed to disclose the outage and its impact on the supply of the drugs until 21 days later.

In June, Icahn sent a letter to Genzyme's shareholders advocating for his slate of directors. The letter opened, "Are you as tired as we are of seeing your investment in Genzyme erode because of management's continuing track record of avoidable missteps and subpar performance in dealing with manufacturing problems at the company?" The main problem—capitalized in the letter—was that, "SEVERE PROBLEMS IN MANUFACTURING HAVE RESULTED IN A SIGNIFICANT DESTRUCTION OF NEAR-TERM AND LONG-TERM SHAREHOLDER VALUE." Icahn charged that the board was "asleep at the wheel" and described Termeer as "King of the Company." The company had "permanently lost revenues and profits to competitors from its 'cash cow' genetics disease franchise as a result of both manufacturing mismanagement and poor strategic planning. In addition, the company has lost significant credibility with patients, doctors and regulators, both in the U.S. and in Europe, two of its most critical markets for its life-saving drugs." The solution was "a major overhaul of Genzyme's management oversight through a reconstituted board that will work to resolve the manufacturing crisis and re-establish trust and credibility with stakeholders." And the people to do it were the so-called "Icahn Slate" who, while directors of ImClone "spearheaded a series of initiatives that resulted in a 126 percent gain in its share price from Oct. 2006 to Nov. 2008, when the company was sold to Eli Lilly & Co. The ImClone initiatives over a two-year period included recharging its partnership with Bristol-Myers Squibb that spurred sales of its flagship drug Erbitux; slashing expenses, reallocating resources and settling litigation. The Icahn team was integrally involved in lining up a counter-bidder to Bristol-Myers' \$60 per-share offer, resulting in its sale at \$70 per-share. All this is part of the public record."⁴⁷

Genzyme responded in a proxy sent to shareholders that the Icahn Slate had a conflict of interest because Denner and Icahn sat on the boards of other biotechnology companies with drugs that competed with Genzyme's.⁴⁸ Some shareholders seemed to take the conflict seriously, enough that Icahn became concerned that the Icahn Slate wouldn't be elected to the board. Seeking to avoid defeat, Icahn contacted Genzyme director Ralph Whitworth, also an activist investor who had recently been added to the board, to see if he could get Denner on the board, too. Whitworth told him he couldn't have Denner, but he could pick two independent directors. Whitworth had already discussed the offer with Termeer, arguing, "You still have Carl out there, and he's pissed off now. Let's quiet things down and get everyone inside working [together]."⁴⁹ Icahn agreed to Whitworth's terms, withdrawing his slate a few days later when the two new directors were added to the board.